

SENATE No. 797

The Commonwealth of Massachusetts

PRESENTED BY:

Michael O. Moore

To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act reforming auto body labor rates.

PETITION OF:

NAME:

Michael O. Moore

DISTRICT/ADDRESS:

Second Worcester

SENATE No. 797

By Mr. Moore, a petition (accompanied by bill, Senate, No. 797) of Michael O. Moore for legislation to reform auto body labor rates. Financial Services.

[SIMILAR MATTER FILED IN PREVIOUS SESSION
SEE SENATE, NO. 688 OF 2023-2024.]

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act reforming auto body labor rates.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 Chapter 100A of the General Laws, as appearing in the 2022 Official Edition, is hereby
2 amended by adding the following two sections:-

3 Section 15. There shall be, within the division of insurance, an auto body labor rate
4 advisory board to address any issues related to auto body labor rates. The advisory board shall
5 consist of: 1 member appointed by the commissioner of insurance; 1 member appointed by the
6 attorney general; 1 member appointed by the director of the division of insurance standards; 3
7 members from the auto insurance industry appointed by the Automobile Insurers Bureau of
8 Massachusetts, 1 of whom shall be chosen by the three members to serve as co-chair; 3 members
9 from the auto repair industry from different geographic regions of the Commonwealth appointed
10 by the Alliance of Automotive Service Providers of Massachusetts, Inc., 1 of whom shall be

11 chosen by the three members to serve as co-chair; 1 member appointed by the Massachusetts
12 State Automobile Dealers Association, Inc.; and 4 members appointed by the co-chairs, 1 of
13 whom shall be from vocational-technical schools, 2 of whom shall be from a consumer advocacy
14 group and 1 of whom shall be an economists with expertise on the insurance industry.

15 The advisory board shall meet not less than 2 times per year. The advisory board shall be
16 responsible for creating, implementing and overseeing an annual survey given to relevant auto
17 body shops as determined by the advisory board. The survey should compile data pertaining to
18 contracted hourly labor rates, posted hourly labor rates and prevailing hourly labor rates and any
19 additional information the advisory board deems relevant. The advisory board shall collect
20 industry data including, but not limited to: (i) labor rates in neighboring states; (ii) auto body
21 shop costs; (iii) total labor costs; (iv) inflation data; (v) work force data; (vi) vocational school
22 trends; (vii) insurance premiums; and (viii) any additional information as requested by the
23 advisory board. The results of the survey and the data collected shall be reviewed and analyzed
24 by the advisory board annually and the board shall make a recommendation for a fair and
25 equitable labor rate.

26 Annually, not later than December 31, the advisory board shall file a report of its
27 findings, conclusions and any recommendations with the clerk of the senate and house of
28 representatives, the joint committee on financial services, the senate and house committees on
29 ways and means and the division of insurance.

30 Section 16. Not more than 30 days after receiving the annual report from the auto body
31 labor rate advisory board under section 15, the commissioner of insurance shall set a minimum
32 hourly labor rate that insurers shall pay on insured claims for repairs made by registered motor

33 vehicle repair shops; provided, however, that the minimum hourly labor rate shall not be less
34 than \$55. The minimum hourly labor rate shall go into effect 30 days after it is set by the
35 commissioner.